

Olympiad Test Paper — Social Science (Class 7) — Paper 4

Chapter 11: From Barter to Money

Paper 4 — (progressively harder)

Subject	Social Science (NCERT Class 7)
Chapter	11 — From Barter to Money
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Classic traps: barter is goods-for-goods with zero money (any rupee, card, cheque, or UPI rupee instantly disqualifies it); money was invented AFTER barter to cure its faults, not before; a note's worth is trust plus Reserve Bank of India backing, never the paper or any precious metal, so modern coins and notes are fiat money; cheques, cards, and UPI merely move the SAME existing rupees between accounts and create no new currency; and a single named barter defect (double coincidence of wants, no common measure of value, indivisibility, perishability/poor store of value, poor portability) must be matched to exactly the symptom described. Do not write on this paper — mark answers on your answer sheet.

1. A market historian sorts four old deals into a 'barter' pile and a 'money' pile. (i) A jar of honey swapped straight for a basket of figs. (ii) A goat handed over and a copper coin received in return. (iii) A sack of rice given for a length of cloth with no price ever stated. (iv) A bundle of firewood exchanged after a cowrie shell was added to balance the deal. Which two belong in the barter pile?

- (A) (i) and (iii), because in each only goods met goods and nothing serving as money entered the deal
- (B) (i) and (ii), because both involved a farm animal or its produce
- (C) (ii) and (iv), because a small payment was needed to complete each exchange
- (D) (iii) and (iv), because no price in rupees was written down in either case

2. A teacher says, 'The instant the deal stops being pure goods-for-goods, it stops being barter.' Which single change to an otherwise pure swap would FIRST end its status as barter?

- (A) the swap is carried out at a busy fair instead of beside a river
- (B) one of the two goods turns out to weigh more than the other
- (C) the two traders agree to meet again next week to repeat the swap
- (D) one trader tops up the swap with a few cowrie shells used as a means of payment

3. A blacksmith has horseshoes and wants honey; the beekeeper wants leather, not horseshoes; the tanner wants honey but has only hides. In pure barter the blacksmith is stuck. The precise barter limitation on display is:

- (A) the horseshoes being too perishable to keep until a buyer appears
- (B) the absence of a double coincidence of wants linking the people who can trade
- (C) the lack of a common standard measure of value for the three goods
- (D) inflation reducing the value of the horseshoes before any swap is made

4. Money breaks the deadlock of an unmatched chain of wants chiefly because money:

- (A) is accepted by everyone, so a trader can sell to any buyer and then buy from any seller without needing one person to want their exact goods
- (B) persuades unwilling buyers to start wanting the goods being offered
- (C) lets perishable goods last long enough to be swapped much later
- (D) splits a large single good into matching small fractions

5. Which everyday situation is the CLEANEST single example of a failed double coincidence of wants, with no other barter defect mixed in?

- (A) a cobbler who needs eggs offers a pair of sandals, but the only egg-seller in the lane wants a haircut, not sandals
- (B) a milkman whose churns of milk turn sour before any swap can be arranged
- (C) a trader who cannot decide whether his ox is worth eight goats or twelve goats
- (D) a vendor whose only asset is one large cart he cannot break up for a tiny purchase

6. Two farmers agree they both want to swap, yet they argue for an hour and walk away with no deal, because one is sure a sack of wheat equals five melons while the other insists it equals nine. The barter problem here is best named as:

- (A) no common standard measure of value, so they cannot agree what one good is worth in terms of the other
- (B) no double coincidence of wants between the two farmers
- (C) the wheat being too perishable to store until a deal is reached
- (D) the melons being too heavy to carry to the market

7. Why does a single agreed measuring-unit make a busy market run far faster than pure barter?

- (A) it makes all goods weigh exactly the same so they trade one-for-one
- (B) it forces every buyer in the market to want the very same product

(C) every good can be priced in that one unit, so any two goods compare instantly instead of haggling a fresh ratio for each pair

(D) it preserves perishable goods so they never have to be sold quickly

8. A goatherd owns one strong goat worth about ten baskets of grain but needs only one basket today. In barter he cannot complete the small purchase. The barter weakness this best illustrates is:

(A) poor store of value, because the goat will lose worth while he keeps it

(B) indivisibility, because a live goat cannot be split into a fraction equal to one basket

(C) no common measure of value, because grain cannot be priced against a goat

(D) no double coincidence of wants, because no one in the market wants grain

9. A fisherman in a barter village keeps growing poorer although he catches plenty, because his only tradable wealth is the day's catch of fish, which he cannot always swap before evening. The deeper money-related defect this reveals is that fish:

(A) are too easily divided into small portions for tiny trades

(B) are a poor store of value, since they spoil before he can trade them

(C) lack a common measure of value by their very nature

(D) are accepted as legal tender across the whole village

10. A trader lists what he loves and hates about barter goods: cattle never rot but cannot be split for small deals; salt is easy to split but loses weight in the rains; grain stores for a season but is bulky to carry far. Reading the list, which single feature does GOOD money combine that all three goods individually fail to combine?

(A) being edible, heavy and rare all at once

(B) being durable, divisible and portable all at once

(C) growing in value the longer it is simply held

(D) forcing every trader to want the identical good

11. A classmate insists, 'People must have used money since the very first trade ever made.' The strongest correction, using the chapter's own order of events, is that:

(A) people used digital payments first and only later invented heavy coins

(B) money and barter were both invented on exactly the same day

(C) trade began as barter, and money was invented only later to fix barter's problems such as mismatched wants

(D) coins are older than the human beings who first struck them

12. Which statement correctly captures the cause-and-effect link between barter's faults and the rise of money?

(A) money was invented first and then deliberately created barter's faults

(B) barter's faults, such as mismatched wants and no agreed measure of value, created the need that money was invented to meet

- (C) barter had no faults, so money was invented for purely decorative reasons
- (D) money and barter's faults appeared together with no causal link between them

13. In one afternoon a vendor does three things with the same rupees: he takes notes from a buyer to hand over mangoes, he locks part of the takings in a drawer to use next month, and he chalks prices on a board so shoppers can compare goods. In order, money is acting as:

- (A) store of value, medium of exchange, standard of deferred payment
- (B) common measure of value, standard of deferred payment, medium of exchange
- (C) standard of deferred payment, store of value, medium of exchange
- (D) medium of exchange, store of value, common measure of value

14. A carpenter delivers a cupboard today and the buyer promises to pay 6,000 rupees in two months. Which one function of money is at work in the promise, and which is clearly NOT?

- (A) it is a standard of deferred payment, and it is not a medium of exchange, since no money changes hands now
- (B) it is a medium of exchange, and it is not a store of value, since the cupboard is gone
- (C) it is a store of value, and it is not a common measure of value, since no price is set
- (D) it is a common measure of value, and it is not a standard of deferred payment, since a date is fixed

15. A shopper hands over a 100-rupee note and a vendor hands back a basket of tomatoes. A child watching says, 'That was barter.' The best reason the child is mistaken is that:

- (A) money in the form of a banknote took part in the deal, so it is a money purchase, not a goods-for-goods swap
- (B) barter can only happen between two farmers and never with a vendor
- (C) barter must always involve at least three different goods at once
- (D) barter is forbidden by law once notes have been printed in a country

16. Identify the option in which money is NOT acting as a medium of exchange:

- (A) handing coins to a bus conductor to ride to school
- (B) writing '40 rupees' on a price tag so two products can be compared before buying
- (C) tapping a card at a counter to take home groceries
- (D) scanning a shop's QR code to pay for a snack on the spot

17. A coin saved in a sealed box for five years and then used to buy rice has, over that whole time, served money's functions in which order?

- (A) medium of exchange while in the box, then store of value when it bought rice
- (B) standard of deferred payment in the box, then common measure of value when it bought rice
- (C) common measure of value in the box, then store of value when it bought rice
- (D) store of value while it lay in the box, then medium of exchange when it bought rice

- 18.** Why is money a far better store of value than a herd of cattle for a person saving for the future?
- (A) money can be eaten in a famine when no food is left
 - (B) money does not fall ill, age, or die, and can be kept and divided as needed over many years
 - (C) money breeds and increases on its own the longer it is held
 - (D) money can plough fields and pull carts when work is needed
- 19.** Grain, cattle, salt and cowrie shells once circulated as a means of payment in early societies. The most exact label for these, and the reason it fits, is:
- (A) fiat money, because a government had declared each of them valuable by law
 - (B) commodity money, because they were ordinary useful goods that also served as a means of payment
 - (C) legal tender, because a central bank issued and guaranteed them
 - (D) digital money, because their value moved between accounts without being touched
- 20.** On a distant island, giant carved stone discs were once treated as money. The chapter uses this example mainly to show that:
- (A) stone is a precious metal and therefore always made good money
 - (B) money has always been small, light and easy to carry
 - (C) stone discs were the very first coins ever minted by a government
 - (D) almost anything a community agrees to accept can serve as money, even an object far too heavy to carry
- 21.** Place the following on the timeline of money in the correct earliest-to-latest order: paper currency, barter, metal coins, commodity money such as cowries.
- (A) commodity money such as cowries, then barter, then paper currency, then metal coins
 - (B) metal coins, then barter, then commodity money such as cowries, then paper currency
 - (C) barter, then commodity money such as cowries, then metal coins, then paper currency
 - (D) paper currency, then metal coins, then commodity money such as cowries, then barter
- 22.** Before minting, a trader carried tiny scales to weigh out a lump of silver and test its purity at every single sale, which was slow and easy to cheat. Which feature of a minted coin most directly removed BOTH of those troubles at once?
- (A) a fixed, certified weight and stamp, so its amount and genuineness were known on sight without weighing or testing
 - (B) a higher metal value, so the coin was always worth more than the lump it replaced

- (C) the ability to be eaten in hard times, so it doubled as food in a famine
- (D) being printed like paper, so it no longer needed any metal at all

23. The early Indian punch-marked silver coins, the karshapanas, carried stamped symbols. The main purpose of those stamps was to:

- (A) certify the coin's metal and genuineness so it would be trusted and accepted in trade
- (B) add extra weight to the coin so it would be worth more
- (C) decorate the coin purely for the sake of its beauty
- (D) convert the silver coin into an early form of paper money

24. Two newly made coins are compared after a year of daily use: one struck from a single soft pure metal is worn smooth and bent, the other struck from a hard alloy is still crisp. This comparison best demonstrates which property that good money needs?

- (A) divisibility, the ability to be split into smaller parts for tiny purchases
- (B) portability, the ability to be carried easily from place to place
- (C) wide acceptance, the willingness of everyone to take it in payment
- (D) durability, the ability to last a long time without wearing away in use

25. A coin shows the national emblem on one face and the figure '5' with the word 'rupees' on the other. Which statement is correct, using the proper coin terms?

- (A) the emblem side is the obverse (the 'heads'), and the value side is the reverse (the 'tails')
- (B) the value side is the obverse, and the emblem side is the reverse
- (C) both faces are called the obverse, and the rim is the reverse
- (D) the emblem side is the edge, and the value side is the obverse

26. The English word 'rupee' descends from the Sanskrit 'rupya'. Knowing what 'rupya' meant, which statement is correct?

- (A) 'rupya' meant printed paper, fitting because the rupee began as a paper note
- (B) 'rupya' meant cowrie shell, fitting because the rupee began as a shell
- (C) 'rupya' meant wrought or stamped silver, fitting because India's early coins were struck from silver
- (D) 'rupya' meant quick response, fitting because the rupee began as a digital code

27. Paper currency was first used in one ancient country and only much later spread elsewhere, including India. Which statement pairs the origin with a true advantage of notes correctly?

- (A) paper money was first used in India, and notes were made of more precious material than coins
- (B) paper money was first used in ancient Rome, and notes could never be lost or torn

(C) paper money was first used in China, and notes were lighter and easier to carry in large amounts than heavy coins

(D) paper money was first used in Britain, and the paper itself was rare and costly, giving the note its worth

28. A 500-rupee note printed on cheap paper still buys goods worth 500 rupees. Which explanation is correct, and which is the classic trap?

(A) correct: the paper is woven with threads of gold; trap: the note is merely trusted

(B) correct: the bright colours of the note guarantee its worth; trap: the Reserve Bank backs it

(C) correct: people trust the note and the Reserve Bank of India backs it; trap: the paper or ink is secretly worth 500 rupees

(D) correct: the note can be melted down for precious metal; trap: trust gives it value

29. Two children debate what makes a banknote acceptable. One points to the Governor's signature and the Reserve Bank's name on the note; the other points to the bright colours and patterns. Whose evidence better explains why people across India accept the note, and why?

(A) the second child, because the colours and patterns are themselves worth the note's value

(B) the first child, because the central bank's signature and name show official backing, which is the real source of public trust

(C) the second child, because a note's worth comes from how attractive it looks

(D) neither child, because a note is accepted only for the value of its paper

30. Imagine that, instead of one issuer, every state and every bank in India printed its own different banknotes. Which problem would this MOST directly cause, and which body actually prevents it in real life?

(A) notes would become precious metal; the United Nations prevents this by approving them

(B) notes would last longer; each state's treasury prevents this by recalling them

(C) notes would turn into coins; local shopkeepers prevent this by stamping them

(D) notes would no longer be uniform or equally trusted everywhere; the Reserve Bank of India prevents this by being the sole issuer

31. Which one of these everyday money items is fiat money, valued by trust and law rather than by the worth of its material?

(A) a cowrie shell once swapped directly for grain in a village

(B) a present-day 20-rupee note issued by the Reserve Bank of India

(C) a sack of salt traded for cloth in an early market

(D) a head of cattle handed over in payment in ancient times

32. A coin's metal is worth less than the value stamped on its face, yet it spends at its full face value. The best single reason is that:

- (A) the stamped face value is only a decoration and the coin really trades for its metal
- (B) the coin must contain metal worth exactly its face value to be spent
- (C) the coin is a form of barter rather than money
- (D) it is fiat money: by law it is legal tender and people trust and accept it at face value

33. A chocolate bar cost 20 rupees two years ago and costs 25 rupees now, while wages have barely changed. The best description, and the effect on a saver who kept exactly 20 rupees in a tin, is:

- (A) this is deflation, and the saved 20 rupees now buys more than one bar
- (B) this is barter, and the saved 20 rupees has turned into goods automatically
- (C) this is inflation, and the saved 20 rupees now buys less than one bar, so its purchasing power has fallen
- (D) this is minting, and the saved 20 rupees has grown into 25 rupees on its own

34. Why does inflation matter to an ordinary family that keeps its savings as cash at home?

- (A) as prices rise over time, the same cash buys fewer goods, so the family's savings lose purchasing power
- (B) as prices rise, the same cash automatically turns into more notes at home
- (C) as prices rise, the cash becomes illegal and can no longer be spent
- (D) as prices rise, the cash turns into precious metal of equal worth

35. A grandfather complains that the 100 rupees that once filled a shopping bag now barely fills a small basket. The single concept that best explains his complaint is:

- (A) inflation, the general rise in prices over time that lowers the purchasing power of money
- (B) the double coincidence of wants failing in modern shops
- (C) the indivisibility of the 100-rupee note in modern shops
- (D) the note losing its legal-tender status over the years

36. A shopkeeper banks his daily takings each evening rather than keeping cash at home. Which list correctly names what the bank does for him, and what it does NOT do?

- (A) it does print new currency for him; it does NOT keep his money safe
- (B) it does keep the money safe and let him pay and transfer electronically; it does NOT set the prices in his shop or choose his customers
- (C) it does mint the coins he gives as change; it does NOT allow electronic transfers
- (D) it does barter his takings for goods; it does NOT let him withdraw when needed

37. A cheque is best described, and best distinguished from cash, as:

- (A) a new kind of currency printed by the shopkeeper who receives it
- (B) a coin made of paper instead of metal, spent like loose change

(C) a form of barter that swaps documents directly for goods

(D) a written instruction telling a bank to pay a stated sum from the writer's account to a named person, moving money between accounts rather than passing notes by hand

38. A stranger prefers to be paid by a bank demand draft rather than a personal cheque. The best reason is that a demand draft:

(A) is a brand-new currency that only strangers are allowed to use

(B) turns the payment into a barter of bank papers between the two parties

(C) is paid for in advance at the bank, so the money is guaranteed, unlike a cheque that might bounce

(D) creates extra rupees that an ordinary cheque is unable to create

39. Riya taps a card and the money leaves her own bank balance at once; Sahil taps a card and his bank pays the shop now while he settles the bill at month's end. Which card does each use?

(A) Riya uses a credit card and Sahil uses a debit card

(B) Riya uses a debit card (her own money) and Sahil uses a credit card (borrowed money repaid later)

(C) both use debit cards, since neither paid in cash

(D) both use credit cards, since both used a machine to pay

40. If a town suddenly lost every one of its banks overnight, which everyday activity would become hardest as a DIRECT result?

(A) safely storing savings and sending money electronically, since these depend on bank accounts

(B) growing vegetables in the kitchen gardens each season

(C) walking from the school to the market in the town

(D) speaking the local language with neighbours and friends

41. A shopper scans a shop's QR code in a UPI app and the payment goes through. The most accurate description of what just happened is that:

(A) a brand-new currency was created at the exact moment of payment

(B) the deal became barter because no physical cash was touched

(C) the phone minted new digital coins to hand to the shop

(D) the same existing rupees moved electronically from the shopper's bank account to the shop's account

42. Before a UPI payment, account A holds 500 rupees and account B holds 200 rupees, a total of 700. A pays B 100 rupees by UPI. Reasoning from this, which statement about the country's total money is correct?

(A) the total rises to 800, because the bank creates 100 fresh rupees during the transfer

(B) the total falls to 600, because 100 rupees are destroyed in the transfer

- (C) the total becomes gold of equal worth, because UPI converts rupees while moving them
- (D) the total stays 700, because UPI only shifts existing rupees from one account to another

43. Which everyday observation BEST shows that UPI is just a way of paying and not a separate currency of its own?

- (A) a UPI payment can only be made on certain days of the week
- (B) the same rupee balance can be spent as cash, by card, or by UPI, and they all draw on the very same account
- (C) a UPI app shows its amounts in a unit that is not the rupee
- (D) money sent by UPI can never be turned back into cash at a bank

44. Four shoppers each pay 50 rupees for the same item, one by cash, one by cheque, one by card, and one by UPI. Which statement about all four payments is TRUE?

- (A) only the cash payment uses real money; the other three are forms of barter
- (B) each method uses a different currency, so the four shoppers paid in four different monies
- (C) the three non-cash methods each created brand-new rupees at the moment of payment
- (D) every one of them moves the same 50 rupees; only the method of moving it differs

45. A table lists four claimed differences between barter and a money economy. Which row is the ODD ONE OUT because it is the only TRUE difference?

- (A) barter needs both traders to want each other's goods, while money lets anyone buy from anyone
- (B) barter settles deals with coins, while a money economy settles them with goods
- (C) barter is quicker than money for large, complicated trades
- (D) barter fixes a single agreed price for every good, while money cannot

46. Which single statement is the MOST complete and accurate summary of the whole chapter?

- (A) money has always existed, is valuable only as precious metal, and UPI is a separate new currency
- (B) trade moved from barter to commodity money to coins to paper to digital payments, and today's money is valued by trust and Reserve Bank backing, while UPI and cards just move the same rupees
- (C) barter is identical to using money, and a note's value lies entirely in its paper
- (D) digital payments came first, then barter, and notes are worth their weight in gold

47. Reading the chapter's overall story, the direction in which money has evolved is best summed up as a movement:

- (A) from trusted modern money back to pure barter
- (B) from digital payments back to heavy metal coins
- (C) from swapping goods directly toward more convenient, widely trusted tools of exchange
- (D) from paper notes back to cowrie shells

48. Asha hands a sketchbook straight to Biru and walks away with his set of crayons; no rupees, coins, cards, cheques, or QR codes feature anywhere. The single fact that makes this barter rather than a purchase is that:

- (A) the two children were friends rather than strangers
- (B) the two items were both used for drawing
- (C) the swap took place at school rather than in a shop
- (D) goods were exchanged directly for other goods, with nothing acting as money in the deal

49. Assertion (A): Money lets a potter sell pots to anyone and then buy grain from anyone, without needing the grain-seller to want pots. Reason (R): Money is widely accepted, so it removes the need for a double coincidence of wants. Choose the best option.

- (A) Both A and R are true, but R does not explain A
- (B) A is true but R is false
- (C) Both A and R are true, and R correctly explains A
- (D) A is false but R is true

50. Assertion (A): A common standard measure of value lets a market price every good in one unit. Reason (R): Without an agreed unit, traders must haggle a separate ratio for every pair of goods. Choose the best option.

- (A) Both A and R are true, but R does not explain A
- (B) A is true but R is false
- (C) Both A and R are true, and R correctly explains A
- (D) A is false but R is true

51. Assertion (A): A modern 2-rupee coin is accepted at full value even though the metal in it is worth less than 2 rupees. Reason (R): Modern coins are fiat money, accepted by legal-tender status and trust rather than for their metal. Choose the best option.

- (A) Both A and R are true, and R correctly explains A
- (B) Both A and R are true, but R does not explain A
- (C) A is true but R is false
- (D) A is false but R is true

52. A trader lists three woes of barter, in order: 'I cannot find anyone who wants my pots; we cannot agree how many pots equal one blanket; and one large pot cannot pay for a single small needle.' These three correspond, in order, to:

- (A) no common measure of value; indivisibility; no double coincidence of wants
- (B) indivisibility; poor store of value; no common measure of value

- (C) no double coincidence of wants; no common measure of value; indivisibility
- (D) poor store of value; no double coincidence of wants; portability

53. Four students each say one thing. P: 'Barter still happens in some places today.' Q: 'A banknote is worth its weight in gold.' R: 'UPI is a brand-new currency.' S: 'Money was invented before barter.' Who is correct?

- (A) Q, because a note is valued by the gold weight of its paper
- (B) R, because UPI is a separate currency from the rupee
- (C) P, because barter does survive in some places even in the age of money
- (D) S, because money came before barter in history

54. Numismatics is the study of coins, paper money and the history they reveal. A scholar who examines old karshapanas to learn which ancient king ruled a region is therefore practising:

- (A) numismatics, by reading coins as evidence of history
- (B) minting, by producing new coins for the king
- (C) bartering, by swapping the coins for goods
- (D) inflation control, by adjusting the price of the coins

55. From the four rows below, choose the ONE row in which the money feature is correctly linked to the exact barter trouble it removes.

- (A) durability overcomes the disagreement over how many of one good equal another
- (B) portability overcomes the failure to find a trader who wants one's exact goods
- (C) wide acceptance overcomes the spoiling of perishable goods before they can be traded
- (D) divisibility overcomes the inability to split a large good for a small purchase

56. An essay claims: 'Barter had no real problems, so money was invented only to make notes out of precious paper.' Which single correction fixes BOTH errors in this claim?

- (A) barter truly had no problems, and a note's value really does lie in its costly paper
- (B) barter's only problem was that paper was too cheap, which money fixed
- (C) barter had serious problems like mismatched wants, and money's value rests on trust and Reserve Bank backing, not on precious paper
- (D) barter was perfect, so money's paper had to be made of gold to compete

57. Legal tender means money that, by law, must be accepted to settle a payment within a country. Which everyday consequence follows directly from a 10-rupee coin being legal tender in India?

- (A) the coin can only be spent in foreign countries, never in India
- (B) the coin is guaranteed to contain 10 rupees worth of precious metal
- (C) a shopkeeper in India cannot lawfully refuse it when a customer offers it to settle a small bill
- (D) the coin may be turned away by any seller who simply dislikes it

58. Two herders both want each other's goods and both agree a fair rate, yet the deal still collapses because one offers a single living camel and the other needs to pay for just one small water-skin. The barter defect at work, and the money feature that would cure it, are:

- (A) no double coincidence of wants, cured by money's wide acceptance
- (B) indivisibility, cured by money's divisibility into small units
- (C) no common measure of value, cured by money's role as a measuring unit
- (D) poor store of value, cured by money's durability over time

59. A learner draws a single arrow to show the long-run change in HOW most trade is settled, from the distant past to today. Which arrow is correct?

- (A) electronic transfers like UPI, then coins and notes, then direct goods-for-goods swaps
- (B) coins and notes, then direct goods-for-goods swaps, then electronic transfers like UPI
- (C) direct goods-for-goods swaps, then electronic transfers like UPI, then coins and notes
- (D) direct goods-for-goods swaps, then coins and notes, then electronic transfers like UPI

60. A buyer pays a distant supplier by cheque instead of carrying a bag of cash across the city. The clearest single advantage of the cheque here is that it:

- (A) creates extra rupees that the cash could never have created
- (B) turns the rupees into a more valuable currency during the transfer
- (C) changes the payment into a barter of paper for goods
- (D) instructs the bank to move the rupees between accounts, so no heavy cash has to be carried and risked on the journey

Solutions — Social Science (Class 7), Chapter 11: From Barter to Money — Paper 4

Paper 4 — (progressively harder)

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	A	11	C	21	C	31	B	41	D	51	A
2	D	12	B	22	A	32	D	42	D	52	C
3	B	13	D	23	A	33	C	43	B	53	C
4	A	14	A	24	D	34	A	44	D	54	A
5	A	15	A	25	A	35	A	45	A	55	D
6	A	16	B	26	C	36	B	46	B	56	C
7	C	17	D	27	C	37	D	47	C	57	C
8	B	18	B	28	C	38	C	48	D	58	B
9	B	19	B	29	B	39	B	49	C	59	D
10	B	20	D	30	D	40	A	50	C	60	D

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (A) Barter is purely goods-for-goods with nothing acting as money; honey-for-figs (i) and rice-for-cloth (iii) qualify. Deal (ii) brings in a copper coin and deal (iv) uses a cowrie shell as a means of payment, so both contain money and are not barter. Pairing by animal produce, by 'a small payment', or merely by the absence of a written rupee price all miss the real test, which is whether any money-thing took part.

2. (D) Barter ends the moment something functioning as money enters; cowrie shells used to balance the deal are commodity money, so that change disqualifies it at once. The venue (fair or riverside), an unequal weight between the goods, and a promise to trade again later all leave the deal as a direct goods-for-goods exchange, so none of them ends barter.

3. (B) Each person wants something a different person has, so no two of them want exactly what the other offers at the same time; that missing match is the double coincidence of wants. The goods are not perishing here, no dispute over relative worth is

described (so it is not the measure-of-value problem), and inflation belongs to a money economy, not to this swap.

4. (A) Universal acceptance lets a trader convert goods into money with any buyer and spend that money with any seller, dissolving the need for a perfect match of wants. Money does not alter anyone's tastes, and although it also helps with spoilage and divisibility, the specific obstacle of mismatched wants is cured by wide acceptance, not by preservation or by dividing a good.

5. (A) A pure double-coincidence failure is when each party wants something the other does not offer, exactly the sandals-for-eggs mismatch. Souring milk is a perishability (poor store of value) problem, uncertainty over how many goats equal an ox is the lack of a common measure of value, and an unbreakable cart is an indivisibility problem; each of those is a different barter defect.

6. (A) Both farmers do want each other's goods, so the wants already coincide; what fails is agreeing the rate of exchange, which is the missing common measure of value. Perishability and portability are not what blocks the deal; the sole sticking point is the disputed worth of wheat in melons.

7. (C) With one common unit, each item carries a single price and any pair can be compared at a glance, removing endless good-for-good bargaining. A measure of value does not equalise weights, does not change what people want, and does not preserve perishables; those describe unrelated barter difficulties, not the role of a measuring unit.

8. (B) The block is that one whole goat cannot be cut down to the tiny value of a single basket, which is the indivisibility problem. The goat is not losing value here, the relative worth is actually known (ten baskets), and there clearly is demand for grain, so the store-of-value, measure-of-value, and double-coincidence options do not fit.

9. (B) Wealth held as fish is lost as the catch rots, so fish fail as a store of value, unlike durable money. Easy divisibility would be a strength, not a weakness; the spoilage problem is not about pricing (measure of value); and a perishable catch is certainly not legal tender, so the other options are wrong.

10. (B) The list shows each good missing at least one of durability, divisibility, or portability; good money holds all three together, which is why money beats each commodity. Money is not prized for being edible, heavy, or rare, does not multiply just by being kept, and never dictates what people want, so the other options are false.

11. (C) Historically people bartered first and money came afterwards as a remedy for barter's faults, so the very-first-trade claim is wrong. Digital payment is the most recent stage, money did not begin on the same day as barter, and coins cannot predate the people who made them, so each alternative repeats a false sequence.

12. (B) The faults of barter came first and are precisely the problems money was designed to solve, so barter's difficulties are the cause and money the response. Money did not precede or cause those faults, barter's faults were real (not absent), and the link is genuinely causal, so the other options misstate the direction or deny the connection.

13. (D) Taking money for goods now is the medium of exchange, locking takings away for later is the store of value, and chalking prices for comparison is the common measure of value, matching the order described. The other lists scramble these roles or wrongly insert deferred payment, which would need a future debt being settled, not present here in that order.

14. (A) Fixing a money sum to be paid on a future date for goods already supplied is the standard of deferred payment; because nothing is paid now, it is not a medium of exchange. The deal is not money being stored, nor merely a price comparison, and a date being fixed is exactly what makes it deferred payment rather than ruling it out, so the other pairings are wrong.

15. (A) A banknote is money, and any deal involving money is a purchase, not barter, which is strictly goods-for-goods. Barter is not limited to particular occupations, does not require three goods, and is not made illegal by the existence of notes, so the other reasons are false.

16. (B) A medium of exchange is money actually changing hands to obtain goods or services; merely writing a price for comparison is the measure-of-value function, so it is the exception. Paying a fare with coins, tapping a card for groceries, and scanning a QR code for a snack all move money to complete a purchase, so each is a medium of exchange.

17. (D) Lying unused in a box preserves purchasing power, which is the store of value; being handed over for rice is the medium of exchange, so that is the correct order. The reverse mixes the two roles, while deferred payment (a future debt) and measure of value (pricing for comparison) describe neither act of storing nor of buying.

18. (B) Money holds value reliably because it neither perishes nor needs tending, and it can be stored and split at will, unlike cattle. Money cannot be eaten, does not multiply merely by being held, and does no farm labour; those are misplaced cattle-style expectations, so each is false.

19. (B) Items that are useful goods in their own right yet also act as money are commodity money, exactly what grain, cattle, salt, and cowries were. Fiat money gets value from law and trust rather than usefulness, legal tender is central-bank-issued modern currency, and digital money is electronic; none describes these tangible early goods.

20. (D) The stone discs show that what makes something money is shared agreement to accept it, even when the object is enormously heavy. Stone is not a precious metal, the

example deliberately contradicts the idea that money is always light, and uncarved minting by a government is not what the stone discs were, so the other options are false.

21. (C) People bartered first, then used commodity money like cowries, then struck metal coins, and later printed paper currency, which is the correct order. The other sequences put commodity money or coins or paper before barter, or reverse the whole line, all of which contradict the chapter's history.

22. (A) A minted coin's certified fixed weight and stamp let people read both its amount and its genuineness at a glance, removing the slow weighing and the purity-testing that invited cheating. The coin need not contain more valuable metal, is not food, and is struck from metal rather than printed like paper, so the other options are false.

23. (A) Stamping marks guaranteed the metal's content and authenticity, helping people accept the coin readily. The marks did not add weight or value, were not merely ornamental, and stamping metal certainly does not turn it into paper money, so the other options are false.

24. (D) The crisp alloy coin surviving a year of handling while the soft one wears and bends shows durability, money's ability to last without degrading. The comparison is about wear over time, not about splitting the coin (divisibility), carrying it (portability), or whether people accept it (wide acceptance), so the other options name the wrong property.

25. (A) The obverse is the main face bearing the principal design or emblem (the 'heads'), and the reverse is the other face (the 'tails'); here that makes the emblem the obverse and the value the reverse. Swapping the two, calling both faces obverse, or confusing a face with the edge all misuse the terms.

26. (C) 'Rupya' means wrought or stamped silver, which matches the fact that India's earliest rupees were silver coins. The rupee did not begin as paper, as a cowrie shell, or as a digital code, so the other meanings and their justifications are all false.

27. (C) Paper money began in China, and its real gain over coins was greater portability, since notes carry large sums lightly. Paper did not begin in India, Rome, or Britain in the chapter's account; notes are not made of precious material, can certainly be lost or torn, and get their value from trust and backing, not costly paper.

28. (C) A modern note's value rests on public trust and Reserve Bank of India backing, while the idea that the paper or ink is itself worth 500 rupees is the classic trap. The paper holds no gold, colour is only a design and security feature, and paper cannot be melted for precious metal, so the other options invert the correct explanation and the trap.

29. (B) Acceptance flows from the Reserve Bank standing behind the note, shown by the Governor's signature and the bank's name, so the first child's evidence is the right one. Colours and patterns are only design and security features worth nothing on their own,

attractiveness does not create value, and the cheap paper is not the source of worth, so the other options are false.

30. (D) Many different issuers would destroy the uniformity and shared trust that make notes acceptable everywhere, which is why the Reserve Bank of India alone issues India's paper currency. Notes do not become metal or coins, the United Nations and shopkeepers do not issue Indian currency, and many issuers would harm rather than help, so the other options are false.

31. (B) A modern banknote is fiat money: it is valued because it is legal tender and trusted, not for its cheap paper. Cowrie shells, salt, and cattle were commodity money, valued as useful goods in their own right, so none of them is fiat money, making the other options wrong.

32. (D) Modern coins circulate at face value because they are fiat money, accepted by law and trust regardless of the metal's worth. The face value is not mere decoration, the coin need not contain matching metal, and a coin is money rather than barter, so the other options are false.

33. (C) A general rise in prices over time is inflation, and it means the same 20 rupees buys fewer goods than before, so the saver loses purchasing power. Falling prices would be deflation (the opposite), no goods-for-goods swap makes it barter, and money in a tin does not grow by itself, so the other options are wrong.

34. (A) Inflation steadily lowers what each rupee can buy, so cash saved at home buys less over time, which is the real concern. Cash does not multiply on its own, does not become illegal, and does not turn into precious metal, so the other options are false.

35. (A) Money buying less than before over time is exactly inflation, which reduces purchasing power. The double coincidence of wants is a barter problem, indivisibility concerns splitting a good, and the note remains legal tender, so none of those explains the shrinking shopping bag.

36. (B) A bank safeguards deposits and enables electronic payments and transfers, but it does not fix a shop's prices or pick its customers, so the correct list pairs real bank roles with non-roles accurately. Banks do not print currency (only the Reserve Bank does), do not mint coins, and do not barter takings, and they do let depositors withdraw, so each other list misstates both halves.

37. (D) A cheque is a written order directing the bank to transfer rupees from one account to a named payee; it moves money between accounts instead of handing over physical notes. It is not a new currency, not a paper coin, and not barter, since rupees in an account are being moved rather than goods swapped, so the other options are wrong.

38. (C) A demand draft is prepaid at the bank, so the funds are assured, which is why a stranger trusts it over a cheque that could be dishonoured. It is not a new currency, not barter, and creates no extra rupees; it simply moves guaranteed money, so the other options are false.

39. (B) A debit card spends the holder's own deposited money immediately, matching Riya, while a credit card spends the bank's borrowed money to be repaid later, matching Sahil. Swapping the two reverses the definitions, and calling both the same ignores that one spent own money and the other borrowed, so the other options are wrong.

40. (A) Banks underpin safe saving and account-to-account electronic transfers, so losing them would hit exactly those tasks. Gardening, walking about, and speaking a language do not depend on banks, so they would be unaffected; the direct link is to handling and moving money.

41. (D) UPI shifts rupees that already exist from one account to another electronically, so it is a method of moving money. It creates no new currency, is not barter because money is plainly involved, and mints no coins; the phone merely instructs the transfer, so the other options are false.

42. (D) After the transfer A holds 400 and B holds 300, still summing to 700, because UPI merely moves existing rupees and creates no new money. No rupees are created or destroyed, and UPI does not turn money into gold, so the totals of 800, 600, and the gold option are all false.

43. (B) Because the same rupees in one account can be spent as cash, by card, or by UPI, UPI plainly moves the existing rupee rather than being a new currency. UPI is not restricted to certain days, shows amounts in rupees, and money received by UPI can be withdrawn as cash, so the other observations are false.

44. (D) Cash, cheque, card, and UPI all transfer the same rupees; they differ only in how the money moves, by hand or electronically through accounts. The non-cash methods are not barter, do not use different currencies, and create no new rupees, so the other statements are false.

45. (A) The genuine difference is that barter requires a double coincidence of wants while money's wide acceptance frees a trader from needing the other to want their goods. Barter uses no coins (money does), money makes large trades easier not slower, and it is money, not barter, that provides a common price, so the other rows are false.

46. (B) The accurate summary traces barter through commodity money, coins, and paper to digital payments and notes that modern money rests on trust and Reserve Bank backing while UPI and cards only move existing rupees. The others revive the traps that money predates barter or is only precious metal, that barter equals money or that paper itself is valuable, or that the evolution order is reversed.

47. (C) Money has steadily moved from direct barter toward ever more convenient and trusted means of exchange, ending in digital payments. The other options reverse this progress, suggesting a return to barter, coins, or shells, which contradicts the actual direction of change.

48. (D) Barter is defined by goods meeting goods with no money at all, which is the only decisive fact here. The traders being friends, the items sharing a use, and the venue being a school are all irrelevant to whether money was involved, so none of them is the reason.

49. (C) It is true that money lets the potter sell to and buy from anyone, and true that this works because money's wide acceptance removes the need for a matching of wants, so R explains A. Both statements are true and genuinely linked, so the options denying either or severing the connection are wrong.

50. (C) A common measure does let every good carry one price, and the reason it helps is precisely that without it traders must negotiate a fresh ratio for each pair, so R explains A. Both statements are true and connected, which rules out the options rejecting either or breaking the link.

51. (A) It is true that a modern coin circulates at a face value above its metal worth, and true that this is because it is fiat money backed by law and trust, with the reason directly explaining the assertion. Both statements are true and linked, so the options denying either or breaking the connection are wrong.

52. (C) Failing to find a matching buyer is the double-coincidence problem, disagreeing on how many pots equal a blanket is the lack of a common measure of value, and one large pot being unable to pay for a tiny needle is indivisibility, exactly the order listed. The other options pair these complaints with the wrong barter defects.

53. (C) Barter does still occur in some places even today, so P is right. A note is valued by trust, not gold weight; UPI is a payment method, not a new currency; and money came after barter, so Q, R, and S each repeat a classic misconception and are wrong.

54. (A) Studying coins to uncover history is numismatics, exactly what the scholar is doing. Minting is making coins, bartering is goods-for-goods swapping, and inflation control concerns managing rising prices; none of those describes examining old coins for historical evidence.

55. (D) Money's divisibility into small units cures the indivisibility problem, where a large good like an ox cannot be split for a tiny purchase, so that pairing is correct. Durability does not settle disputes over relative worth (that needs a common measure), portability does not fix mismatched wants (that needs wide acceptance), and wide acceptance does not stop goods spoiling (that needs durability), so each of the other pairs links the wrong cure to the wrong problem.

56. (C) Both errors must be corrected: barter did have real problems such as the double coincidence of wants, and a note's worth comes from trust and Reserve Bank backing rather than precious paper. The other options keep one or both errors, agreeing barter had no problems or that the paper is costly or golden, so each is false.

57. (C) Legal tender must by law be accepted to settle payments inside the country, so a 10-rupee coin cannot lawfully be refused for a small bill. It is the home country's money rather than foreign-only, its legal-tender status has nothing to do with metal content, and it cannot simply be turned away on a whim, so the other options are false.

58. (B) Wants match and the rate is agreed, so the only block is that a whole camel cannot be split to the value of one small water-skin, which is indivisibility, cured by money being divisible into small units. The wants already coincide, the rate is already agreed (so not the measure-of-value problem), and nothing is spoiling (so not store of value), making the other options wrong.

59. (D) Trade began with direct goods-for-goods barter, then settled with coins and notes, and most recently with electronic transfers like UPI, which is the correct arrow. The other arrows put digital first, or place barter after coins, or put electronic transfers before notes, all of which reverse the real history.

60. (D) A cheque tells the bank to transfer rupees between accounts, so the buyer avoids carrying and risking heavy cash, which is its real advantage here. It creates no extra rupees, does not change the value or currency of the money, and is not barter, since rupees in accounts are being moved rather than goods swapped, so the other options are false.